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<u>Tentative Ruling</u>

Re: ***Hrair Messerlian v. Service Employees International Union, Local 1000***
Superior Court Case No. 24CECG02860

Hearing Date: August 19, 2026 (Dept. 403)

Motion: by Plaintiff to Tax Costs

Tentative Ruling:

To deny.

Explanation:

The Motion is Untimely

"Any notice of motion to strike or to tax costs <u>must</u> be served <u>and</u> filed 15 days after service of the cost memorandum. If the cost memorandum was served by mail, the period is extended as provided in Code of Civil Procedure section 1013. If the cost memorandum was served electronically, the period is extended [by two court days] as provided in Code of Civil Procedure section 1010.6(a)(3)." (Cal. Rules of Court, rule 3.1700(b)(1), emphasis added.) The parties may agree to extend the time for filing, but this agreement must be confirmed in writing, specify the extended date for service, and be filed with the clerk. (*Id*., rule 3.1700(b)(3).)

Plaintiff failed to file the motion to tax costs within 15 days and the two additional court days for electronic service of the cost memorandum. No agreement between the parties extending the time to file was filed with the court. The court intends to deny the motion on this procedural basis.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling
Issued By: <u>SMC</u> on <u>August 18, 2026</u>.
(Judge's initials) (Date)

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Tentative Ruling

Re: ***Inglemon v. OnPoint Logistics, LLC***
Superior Court Case No. 24CECG05570

Hearing Date: August 19, 2026 (Dept. 403)

Motion: By Defendant OnPoint Logistics, LLC to Compel Individual Arbitration, Dismiss Class Claims, and Stay Proceedings

Tentative Ruling:

To grant the defendant's motion to compel arbitration in part and deny in part. To compel arbitration of plaintiff Thomas Inglemon's claims under Labor Code sections 1194, 1194.2 and 1197, as stated in the first cause of action, the second cause of action, under Labor Code section 512 under the third cause of action, the fifth cause of action, the sixth cause of action, the seventh cause of action, the eighth cause of action, and the individual PAGA claim stated in the ninth cause of action. To deny the motion to compel arbitration of the claim under Labor Code section 204 of the first cause of action, under Labor Code section 226.7 of the third cause of action, the fourth cause of action and ninth cause of action to the extent that it states a representative claim under PAGA.

To deny dismissal of the class action.

To stay the court action as to the denied claims until the arbitration has been resolved.

Explanation:

Defendant OnPoint Logistics, LLC ("Defendant") moves to compel arbitration against plaintiff Thomas Inglemon ("Plaintiff") based on a signed arbitration agreement.

Objections

Defendant's objections to portions of Plaintiff's deposition are overruled.

The Existence of an Arbitration Agreement

Pursuant to California Code of Civil Procedure, section 1281.2, "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement. (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact." (Civ. Proc. Code § 1281.2, paragraph breaks omitted.)

"[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and, if any defense to its enforcement is raised, whether it is enforceable. Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement - either fraud in the execution voiding the agreement, or a statutory defense of waiver or revocation (see § 1281.2, subds. (a), (b)) - that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense." (*Rosenthal v. Great Western Fin. Securities Corp*. (1996)14 Cal. 4th 394, 413.) Thus, in ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law guide the court in making this determination. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534.) To determine whether there is an enforceable arbitration agreement, courts apply state law principles related to formation, revocation, and enforcement of contracts. (*Banner Entertainment, Inc. v. Alchemy Filmworks, Inc.* (1998) 62 Cal.App.4th 348, 357.)

Here, Defendant has met Defendant's burden of establishing the existence of an agreement to arbitrate the claims raised in Plaintiff's Complaint. Defendant provided an authenticated copy of the arbitration agreement. (Mohamed Decl., Exh. 2.) Defendant explains the onboarding process for Defendant, which includes the creation of a unique account for each individual. (*Id*., ¶¶ 5-9.) After creation of the account, the prospective employee is presented with a link to download an application, which requires them to log in with their unique credentials, which includes a copy of the arbitration agreement. (*Id*., ¶¶ 10-14.) The onboarding process requires that the entirety of the agreement be scrolled through before the new employee can indicate that they agree and accept it. (*Id*., ¶¶ 14-16.) Once the employee slects "I Agree and Accept" and "Continue", the agreement is recorded within Defendant's records. (*Id*., ¶¶ 17-18.) The onboarding software indicates which unique account number accepted the arbitration agreement. (*Id*., Exh. 2.) Plaintiff admits that, although he does not remember the arbitration agreement, he did participate in Defendant's onboarding process. (Inglemon Decl., ¶ 10.) However, aside from claiming a general lack of memory and stating he was rushed through the onboarding, Plaintiff neither contests that he executed the arbitration agreement, nor provides any evidence that he did not agree to its terms. (*Ibid*.)

Applicability of the Federal Arbitration Act

Defendant states and Plaintiff does not contest that Defendant's business involves interstate commerce. Defendant is a Delivery Service Partner for Amazon Logistics, Inc. ("Amazon"). (Mohamed Decl., ¶ 2.) Defendant employed delivery drivers that picked up Amazon packages from California warehouses that then delivered them locally. (*Ibid*.) Plaintiff, a delivery driver for Defendant, delivered packages ordered from Amazon which originated from all over the country. (*Id*., ¶¶ 2-3; Inglemon Decl., ¶¶ 2-4.)

Defendant contends that the Federal Arbitration Act ("FAA") applies to the arbitration agreement. Under section 2 of Title 9 of the United States Code, any contract involving commerce that agrees to be settled by arbitration shall go to arbitration. Plaintiff contends that FAA does not apply because he is a "worker[] engaged … in interstate commerce" within the meaning of section 1of Title 9 of the US Code. That section states in pertinent part, "nothing herein contained shall apply to contracts of employment of seamen, railroad employees, or any other class of workers engaged in foreign or interstate commerce."

The recent United States Supreme Court decision of *Flowers Foods, Inc. v. Brock* (2026) 600 U.S. ___ ("*Flowers*") is controlling in this case. *Flowers* held that, for the purposes of section 1 of Title 9 of the United States Code, "a worker who transports good on an intrastate leg of an interstate journey can qualify for § 1's exemption without" either crossing state lines or interacting with a vehicle that does. Although Plaintiff only delivers locally, he delivers packages that come from all over the country. (Inglemon Decl., ¶ 4). Plaintiff is the last part of an interstate chain of deliveries. Therefore, he meets the definition of a transportation worker for purposes of the exemption of 9 U.S.C. § 1. Accordingly, the FAA cannot be used to compel Plaintiff to arbitration.

When the FAA does not apply, then the arbitration agreement will be examined under the California Arbitration Act ("CAA") and California law. Thus, the arbitration agreement is enforceable under the CAA unless Plaintiff provides a defense to either the whole or part of the arbitration agreement.

Waiver of Class Action

In the case of *Garrido v. Air Liquide Industrial U.S. LP* (2015) 241 Cal.App.4th 833, 837-838, the court upheld the application of *Gentry v. Superior Court* (2007) 42 Cal.4th 443 to CAA cases and further stated that the court, "will not enforce provisions contained within arbitration agreements that pose significant obstacles to the vindication of employees' statutory rights." *Gentry* establishes four facts that must be considered in determining whether a class arbitration waiver is unenforceable. (*Gentry v. Superior Court*, *supra*, 42 Cal.4th at 463.) The four factors are the "modest size of the potential individual recovery, the potential for retaliation against members of the class, the fact that absent members of the class may be ill informed about their rights, and other real world obstacles to the vindication of class members' right to overtime pay through individual arbitration." (*Ibid*.)

First Factor: Modest Size of Potential Recovery

The current case involves recovery for missed meal and rest breaks, unpaid wages for off-the-clock work, and unreimbursed business expenses. (Inglemon Decl., ¶ 8.) Plaintiff estimates each individual employee is likely to recover a few hundred to a few thousand dollars. (*Ibid*.) Defendant contests the number presented by Plaintiff by the lack of explanation of how that number was reached. Defendant is correct that the evidence to back the specific amount is weak. However, Plaintiff does provide corroborating evidence of the likely low recovery by Plaintiff's inability to find an attorney to take his individual claim on a contingency basis. Accordingly, this factor weighs slightly in Plaintiff's favor.

Second Factor: Potential for Retaliation Against Members of the Class

Plaintiff raises the potential for retaliation against members of the class of employees covered by the class action. Although, as Defendant points out, Plaintiff is no longer an employee of Defendant. Plaintiff's experience can help the court determine if other potential class members would fear retaliation and, thus, be unwilling to sue on an individual basis. Further, no longer working for Defendant can potentially strengthen Plaintiff's standing as a class action or class arbitration representative because "it is 'reasonably presumed' potential class members still employed by [the] employer 'might be unwilling to sue individual or join a suit for fear of retaliation at their jobs.'" (*Franco v. Athens Disposal Co., Inc.* (2009) 171 Cal.App.4th 1277, 1296 as modified (Mar. 18, 2009), citing *Gentry v. Superior Court*, *supra*, 42 Cal.4th at 460.)

While working for Defendant, Plaintiff indicates he would have been unlikely to sue Defendant, if he had been aware of his rights. (Inglemon Decl., ¶ 7.) Plaintiff discussed pressure put on drivers who fell behind and that routes could be taken from one driver and given to another. (*Ibid*.) Defendant raises points comparable to those raised in *Gentry* about the existence of a policy against retaliation and the ability to report retaliation to management. (*Gentry v. Superior Court*, *supra*, 42 Cal.4th at 460-461.) As the California Supreme Court reasoned,

> "Given that retaliation would cause immediate disruption of the employee's life and economic injury, and given that the outcome of the complaint process is uncertain, we do not believe the existence of an antiretaliation statute and an administrative complaint process undermines Gentry's point that fear of retaliation will often deter employees from individually suing their employers."

(*Gentry v. Superior Court, supra,* 42 Cal.4th at 461.)

Based on Plaintiff's description on Defendant's workplace and case law, the second factor weighs in Plaintiff's favor.

Third Factor: Absent Members of the Class May be Ill Informed of Their Rights

Defendant argues that Plaintiff and other potential class members are aware of their rights. Defendant emphasizes the Employee Handbook provided to employees and Defendant verbally communicates employees' rights to meal and rest breaks. Finally, the employee's rights were described on the poster required by California's Department of Industrial Relations which Defendant displayed. (Mohamed Decl., ¶ 19 & Exh. 3.) Contrasting Defendant's description, Plaintiff indicates he was unaware of the nuances of overtime laws regarding payment of wages, and the laws regarding meal and rest periods. (Inglemon Decl., ¶ 6.) Plaintiff only learned of his rights after discussion with Plaintiff's attorneys. (*Ibid*.) Plaintiff also indicates that during the onboarding process, Plaintiff quickly signed documents and did not receive much time to review them due to Plaintiff's understanding that all the documents provided were required to begin the job. (*Id*., ¶ 10.) The Court finds it's reasonable that an employee could be ignorant of their rights, despite Defendant's efforts to disseminate that information. Other employees may be similarly situated to Plaintiff. Accordingly, the third factor weighs in favor of Plaintiff.

Fourth Factor: Other Real World Obstacles to Vindication of Class Member's Rights

Plaintiff points to the difficulties he had in both obtaining an attorney and the costs involved with individual arbitration. (Inglemon Decl., ¶ 9.) Plaintiff further raises the issue of the relatively small recovery not covering the costs for Plaintiff to pursue the case individually or with an attorney. (Id., ¶ 8-9.) Defendant argues that Plaintiff's determinations are conclusory and he does not adequately explain the basis for Plaintiff's reasoning. Plaintiff lacks an adequate basis for the specific amount of recovery. However, Plaintiff's inability to find an attorney to represent him on contingency and the inability to hire an attorney and on a cash basis be likely to cover the costs, are indicative of real world obstacles to the vindication of class member's rights. Accordingly, the fourth factor weighs in favor of Plaintiff.

Having analyzed the four factors, the factors weigh in favor of Plaintiff. Accordingly, the class action waiver is unenforceable and against public policy

Labor Code Section 229

Labor Code section 229 states in pertinent part, "Actions to enforce the provisions of this article for the collection of due and unpaid wages claimed by an individual may be maintained without regard to the existence of any private agreement to arbitrate." "[I]f a cause of action seeks to collect due and unpaid wages pursuant to sections 200 through 244, that action can be maintained in court, despite an agreement to arbitrate. (*Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 684.) Labor Code section 226.7 "is a premium wage intended to compensate employees, not a penalty." (*Murphy v. Kenneth Cole Productions, Inc.* (2007) 40 Cal.4th 1094, 1114.)

Plaintiff argues that Labor Code section 229 applies to the causes of action seeking unpaid wages based on Labor Code section 204, 1194.2, 1197.1, and Labor Code sections 226.7 and 512 due to the recovery being defined as wages. Plaintiff is only partially correct. Labor Code section 299 only applies to Labor Code sections 200 through 244. (*Lane v. Francis Capital Management LLC*, *supra*, 224 Cal.App.4th at 684.) Accordingly, the claims based on Labor Code sections 204 and 226.7 are inarbitrable.

PAGA Claim

The First Amended Complaint also includes a PAGA cause of action. To the extent the agreement can be understood to waive a representative action, the California Supreme Court has found that waivers of PAGA representative actions in employee arbitration agreements are unenforceable. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 383-384, abrogated on other grounds in *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.) Accordingly, the arbitration of the plaintiff's individual PAGA claim is allowed under California law and is consistent with the call of the arbitration agreement to arbitrate representative claims. (*Id*. at p. 662.) Accordingly, the court grant the motion to compel arbitration of Plaintiff's individual PAGA claim.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling
Issued By: SMC on August 18, 2026 .
(Judge's initials) (Date)